

The 2026 Pennsylvania Health Insurance State of the Market

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1. The Big Picture: Why is health insurance more expensive this year?

As of May 2026, Pennsylvania’s health insurance market is experiencing its most significant shift in a decade. Three primary factors have converged to drive the current state of the market:

- **The Expiration of Enhanced Subsidies:** On December 31, 2025, federal "enhanced" tax credits expired. For many Pennsylvanians, these credits covered the majority of their monthly costs. Without them, the average person staying in their same plan saw their monthly bill increase by **102%**.
- **Approved Rate Increases:** The Pennsylvania Insurance Department approved an average statewide premium increase of **21.5%**. This reflects the rising costs of medical services, high-cost prescription drugs, and a sicker "risk pool" as healthy people drop coverage.
- **The Enrollment Cliff:** Approximately **85,000 to 120,000 Pennsylvanians** have dropped their health insurance since January due to these costs, leading to a higher number of uninsured residents in rural and middle-class communities.

2. Regional Breakdown (Rating Areas 1-9)

Health insurance costs in Pennsylvania vary significantly based on where you live. Below is the straightforward state of the market for each area as of May 2026.

Rating Area	Key Counties	Avg. Rate Increase	Current Market State
Area 1	Philadelphia, Bucks, Chester, Delaware, Montgomery	+20.1%	Highly Competitive but Expensive. Despite having the most carrier options, the sheer cost of living in SEPA makes the "subsidy cliff" feel steepest here.
Area 2	Scranton, Wilkes-Barre, Poconos	+17.7%	Aging Risk Pool. High concentration of older residents (55-64) who are now paying the highest "unsubsidized" premiums in the state.
Area 3	Lehigh Valley (Allentown, Bethlehem)	+18.4%	Network Shifts. Many residents are switching

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			to "narrow networks" (HMOs) to save money, losing access to certain specialists.
Area 4	North Central (State College, Williamsport)	+20.2%	Limited Options. With fewer carriers, residents have little choice but to accept high increases or go uninsured.
Area 5	West Central (Altoona, Johnstown)	+21.5%	Economic Strain. This region has seen the highest rate of "non-payment" cancellations as families prioritize food and housing over premiums.
Area 6	South Central (Harrisburg, York, Lancaster)	+22.4%	The York Shock. Famous for a "worst-case" example where a couple's annual cost jumped from \$7k to \$35k. Affordability is the #1 crisis here.
Area 7	Central (Reading, Lancaster, Lebanon)	+18.9%	Stable but Shrinking. Enrollment has dipped as small business employees find the individual market cost-prohibitive.
Area 8	West (Pittsburgh, Allegheny, Westmoreland)	+24.8%	Carrier Dominance. Heavy competition between UPMC and Highmark has not lowered costs; in fact, this area saw the state's highest approved hikes.
Area 9	Northwest (Erie, Crawford, McKean)	+21.1%	Rural Access Crisis. High disenrollment in rural counties is leading to concerns about the long-term survival of local clinics.

3. Critical Information for Consumers

The "Income Cliff" Warning

If your household income is above **\$62,600 (Single)** or **\$84,600 (Couple)**, you likely no longer qualify for any federal tax credits. You are now paying the "Full Actuarial Price" of your insurance.

The Rise of "Bronze" Plans

To cope with costs, 33,000 more Pennsylvanians have moved to **Bronze-tier plans**.

- **The Benefit:** Lower monthly premiums.
- **The Risk:** Deductibles often exceed **\$9,000**. If you have a major medical event, you will be responsible for thousands of dollars before insurance pays a cent.

New Verification Rules

Federal rules (effective mid-2025) now require stricter documentation. If Pennie asks you for income or citizenship verification, **you must respond within 90 days** or your financial assistance will be terminated immediately.

Data Sources:

- *Pennsylvania Insurance Department (PID) 2026 Final Rate Filings*
- *Pennie Marketplace Q1 2026 Enrollment Transparency Report*
- *Urban Institute: The Impact of EPTC Expiration in PA*